Principles of Value Investing

History of Value Investing

- Benjamin Graham and David Dodd, who were the teachers of Warren Buffett at the Columbia University, are known to be the “fathers” of value investing.

- In 1934, they published a book called “Security Analysis”, which laid down the main principles of value investing.

- Their approach to investment was hugely publicized by Warren Buffett and other renowned value investors such as Bill Ackman and Howard Marks.

What is value investing?

Buying the shares of a good company at a low price.

Criteria for a good company

- Strong and stable earning
- Not too much debt
- Strong cash flow

Useful Indicators for Value Investing

- Price-to-Earnings Ratio (P/E Ratio): Share price divided by earning per share.
- Price-to-Book Ratio (P/B Ratio): Share price divided by book value per share, where book value is roughly equal to net asset value.
- Price-to-Cash-Flow Ratio (P/CF Ratio): Share price divided by net cash flow per share.
- Dividend Payout Ratio: Dividend per share divided by earning per share. Consistent dividend payout with a low payout ratio **might** indicate a strong future growth prospect.

Limitations of Value Investing?

Why a company is so much undervalued?

The Figures are fake?

Poor Future (growth) Prospect?

Many companies that look cheap deserve to be cheap!

A Real Life Story

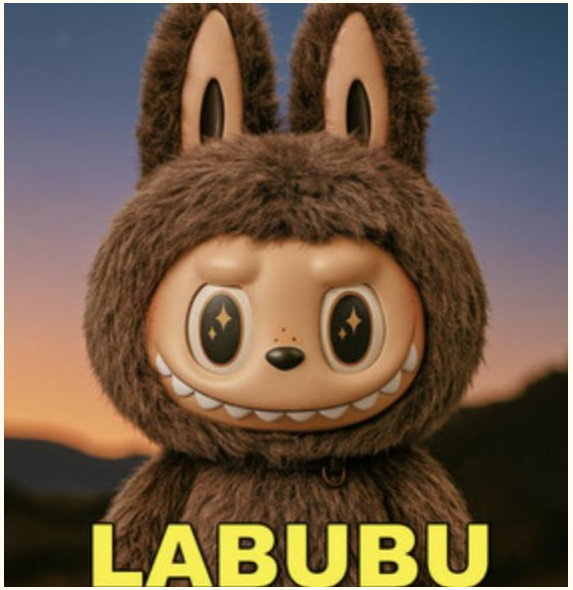
Peking Tong Ren Tang (北京同仁堂, 3613.hk)

- It manufactures traditional Chinese medicine and healthcare products.
- It is a centuries-old brand, which dates back to 1669.
- Its share price was traded above 8 dollars most of the time.
- In March, its share price fell to 7.89 dollars.
- Since then, its share price has kept falling and now it stands at around 6 dollars.
- Why has its share price fallen so much this year?

Two Types of Long Term Investment

- Good Businesses in temporary troubles: e.g., Energy Companies since War in Ukraine
- “Small” Companies with high growth prospects: e.g., Tencent in 2004

Pop Mart



Can Pop Mart (9992.hk) reach a new high in 5 years?

Pop Mart (9992.hk)

- It specializes in toy design, pop culture collectibles, and intellectual property (IP) development.
- Its share price peaked at 322 dollars in August last year, and it currently stands at around 156 dollars.
- Its products have a huge profit margin.
- And the company is holding a lot of cash (i.e., 11.9 billion RMB).
- Its total liability is 6.9 billion RMB.
- Its current P/E ratio is 13.3 and its P/B ratio is 7.56.
- Its total-liabilities-to-equity ratio is 48%.

Its business model might be similar to those of Bandai Namco (萬代南夢宮) and Sanrio (三麗鷗), which are famous Japanese toy and entertainment companies.

Good Finance Websites

- Investing.com
- Yahoo Finance

Reference

- 1. Graham, B. (2009). The Intelligent Investor, Rev. Ed: The Definitive Book on Value Investing. Harper Collins.
- 2. Tracy, J. A., & Tracy, T. C. (2014). How to read a financial report: wringing vital signs out of the numbers. John Wiley & Sons.
- 3. Dorsey, P. (2008). The little book that builds wealth: The knockout formula for finding great investments (Vol. 12). John Wiley & Sons.